

**BEFORE THE
FEDERAL MARITIME COMMISSION**

MSRF Inc.	)	
	)	
<i>Complainant,</i>	)	DOCKET NO. 22-20
	)	
v.	)	
	)	
HMM Company Limited,	)	
<i>Respondent.</i>	)	
	)	

**RESPONDENT HMM COMPANY LIMITED’S MOTION
FOR ATTORNEY’S FEES**

Respondent HMM Company Limited (“HMM”), through its undersigned attorneys, hereby submits its Motion for Attorney’s Fees (the “Motion”) in this action.

**I.
INTRODUCTION**

Following the November 22, 2023, Initial Decision (“ID”) dismissing all of Complainant MSRF Inc.’s (“MSRF”) claims in this action, HMM respectfully moves for its reasonable attorney’s fees incurred in defending this matter. The award of attorney’s fees is authorized under 46 U.S.C. § 41305(e) and justified under the policies and procedures outlined in the Statement of the Commission on Attorney’s Fees, issued December 28, 2021, in the matter docketed at 21-14 (the “Guidelines”). Pursuant to the service contract between MSRF and HMM (the “Service Contract”), the parties agreed that attorney’s fees and costs could be awarded to the prevailing party in a dispute. Moreover, MSRF itself sought attorney’s fees in the Complaint and its later MSRF Filing (defined and discussed *supra*). For the foregoing reasons and in light of the facts highly peculiar to this matter, HMM respectfully argues that an award of attorney’s fees and costs is appropriate.

II. **FACTS¹**

Starting with the Complaint, MSRF's claims consisted of disjointed allegations unsupported by the evidence.² It has recently emerged that MSRF's legal claims are not grounded in the facts of this case for a simple reason: MSRF copied the Complaint in this case from the proceedings of an unrelated matter. As the accompanying Affirmation of Neil A. Quartaro, dated January 25, 2024 ("Q Dec.") shows, nearly every paragraph of MSRF's Complaint was copied from a complaint filed by different counsel in an unrelated action. The result was that HMM was forced to defend itself against allegations made in a **different case** that were wholly unsupported by the facts of **this case**. This is why the Presiding Officer and HMM struggled to make sense of MSRF's disjointed legal arguments and meritless factual allegations. MSRF's behavior should be roundly condemned by the Commission, and future conduct of this sort should be strongly deterred by an award of attorney's fees and costs to HMM.

1. The Service Contract

MSRF entered into negotiations with HMM in early 2021 for the Service Contract, pursuant to which HMM's minimum quantity commitment ("MQC") to MSRF was 25 FEUs from Asia to the United States. ID at 9. By mid-April 2022, MSRF had booked only 10.125 FEUs to be carried by HMM. See ID at 13. Even though the Service Contract was set to expire April 30,

¹ HMM assumes the Commission's familiarity with the basic facts of this case and repeats here and in the Q Dec. only those facts needed to resolve the Motion.

² These disjointed allegations originated in FMC Docket 22-14 wherein MSRF levied near-identical allegations against Yang Ming Transport Corporation and HMM jointly. The emphasis here will focus on the Proceeding at hand.

2022, MSRF failed to invoke paragraph 8(b) of Tariff Code HDMU-047 Rule No. 208-A,³ to make an election to either extend the Service Contract or adjust the MQC to the containers actually shipped. *See* ID at 13. Accordingly, HMM offered to amend the Service Contract to extend its term by ten weeks, to July 8, 2022. *See* ID at ¶ 14.⁴

MSRF agreed to the Service Contract extension and took full advantage of it, booking 37.875 FEUs with HMM during the extension of the Service Contract alone. ID at ¶ 49 and 51. Not only did HMM extend the Service Contract when it was not obligated to do so, HMM also maintained the same 2021 freight rates, so that MSRF was able to ship the additional 37.875 FEUs at below-market rates in 2022. ID at ¶ 51. According to MSRF's Director of Logistics, this conferred a major benefit, allowing MSRF to save approximately \$180,000 in freight costs. ID at ¶ 54.

In addition to the Service Contract amendment extending the term, there were many other amendments sought by MSRF to add lanes or services, all of which HMM agreed to. ID at ¶ 56. MSRF's own email correspondence proved that, contrary to the allegations of the Complaint, the two companies communicated and negotiated regarding the MQC, additional lanes, freight rates, surcharges added, and the contract extension. *See* ID at ¶ 57. The evidence further proved that the few bookings where HMM could not provide space were because of a lack of capacity, not the misrepresentations alleged in the Complaint. ID at ¶ 59. The record is devoid of evidence of duress or undue pressure by HMM concerning the Service Contract's amendments. ID at ¶ 60.

³ MSRF also failed to adhere to an arbitration provision which was incorporated by reference into the Service Contract. The provision includes a basis on which HMM could secure its attorneys' fees in a dispute as it seeks in the instant Motion.

⁴ Following the extension of the term of the Service Contract, MSRF sought an additional amendment to add a service lane. ID at ¶42. Although HMM did not have to agree, it accepted this request and added the additional service lane. ID at ¶43.

In total, HMM carried a total of 46.875 FEUs for MSRF during the term of the Service Contract. ID at 15. HMM therefore accepted bookings requested by MSRF in excess of the 25 FEU MQC required under the Service Contract, even though HMM was not required to provide excess capacity under the Service Contract. See ID at 46. Nevertheless, MSRF sued HMM for failing to ship the minimum MQC. See Complaint.

2. The Complaint Was Copied From A Different Action

MSRF's case is meritless and frivolous because the Complaint was copied from an unrelated action. On August 19, 2022, MSRF filed the Complaint in the instant action. See Complaint. Outrageously, it has now emerged that the Complaint is a mere simulacrum of the complaint dated July 28, 2021 (the "MCS Complaint") filed in *MCS Industries, Inc., v. COSCO Shipping Lines Co., Ltd., et al.*, FMC Docket 21-05 (the "MCS Action"). The Q Dec. includes as Exhibit 2 an electronically-generated red-line comparison of the MCS Complaint (the "Compare").⁵ A physical comparison of the complaints and the Compare makes clear that MSRF copied the MCS Complaint to a remarkable degree. Q Dec. ¶ 8.

Many of the paragraphs in the two complaints are nearly identical, with only party reference changes or, in some cases, synonymous words or terms substituted. Q Dec. ¶¶ 8-15. For example, paragraphs 2 and 3 of the MSRF Complaint are identical to paragraphs 2 and 3 of the MCS Complaint, with only one deletion in paragraph 2. *Id.* ¶ 9 and Ex. 2. The primary difference between the complaints seems to be the deletion of certain party-specific references and claims related to collusion between the two respondents named in the MCS Complaint.⁶ *Id.* ¶ 8 and Ex.

⁵ The Compare was generated by deleting the paragraphs from the MCS Complaint that were not copied and then comparing this version against the MSRF Complaint. The result is, HMM respectfully urges, definitive proof that the MSRF Complaint was entirely copied from the MCS Complaint.

⁶ It is worth noting that these paragraphs about collusion were copied over into the Complaint at FMC Docket 22-14 where Yang Ming Transport Corporation and HMM were jointly named as respondents.

2. The jurisdictional allegations in the MSRF Complaint, contained in paragraphs 14 through 20, are identical to paragraphs 22 through 28 of the MCS Complaint, with only logical or minor non-substantive changes. *Id.* ¶ 10 and Ex. 2.

Even the Alleged Facts of the MSRF Complaint were copied from the MCS Complaint. Q Dec. ¶ 11. For example, paragraphs 21 through 23 of the MSRF Complaint are the same as paragraphs 29 through 31 of the MCS Complaint. *Id.*, Ex. 2. Paragraphs 24 and 25 of the MSRF Complaint are the same as paragraphs 33 and 34 of the MCS Complaint, while paragraphs 26 and 27 of the MSRF Complaint are the same as paragraphs 42 and 43 of the MCS Complaint. *Id.* In other words, the factual allegations of the MSRF Complaint appear to be copied nearly verbatim from the MCS Complaint. *Id.* ¶ 12.

If there were any doubt, the MCS Complaint was filed against two carriers under different service contracts and accordingly refers to “service contracts.” Q Dec. ¶ 11. The MSRF Complaint alleges only a single service contract. However, in copying the MCS Complaint, the MSRF Complaint erroneously imported the plural “service contracts.” *Id.* ¶ 13. The wholesale importation of the term “service contracts” into the MSRF Complaint can be seen in paragraphs 12, 15, 18, 19, 20 (twice), 22, 56, and Wherefore 2. *Id.* ¶ 14.

The Causes of Action alleged in the MSRF Complaint are also identical to those of the MCS Complaint. Q Dec. ¶ 15. In fact, commencing with paragraph 28, the Causes of Action, Causation, Complainant’s Damages, and Prayer for Relief sections of the MSRF Complaint are identical to the MCS Complaint commencing on paragraph 45. *Id.* There is no doubt that all of the allegations, factual and legal, in the instant matter were copied from the MCS Complaint. HMM respectfully submits that this fact alone justifies an award of attorney’s fees and costs.

3. The Damages Summary Was Incomprehensible and Vastly Overstated

On February 17, 2023, MSRF produced an Excel spreadsheet purporting to document its alleged damages and seeking \$1,770,303.63 (the “Initial Damages Summary”). Q Dec ¶ 16. HMM relied on the Initial Damages Summary to analyze MSRF’s claims for damages and prepare for the depositions of MSRF’s witnesses. When MSRF’s witnesses were questioned with the Initial Damages Summary, counsel for MSRF agreed that it contained material errors, including claims falling outside the term of the Service Contract, claims for lanes not in the Service Contract, and claims that were directed at Yang Ming, not HMM. MSRF retracted the Initial Damages Summary during the depositions.⁷ On or about March 22, 2023, MSRF produced a revised damages spreadsheet that alleged almost identical damages of \$1,768,328.68 (the “Revised Damages Summary”).

The Revised Damages Summary also had significant and material errors, including missing information and unsupported claims, and it also alleged damages that were inflated by spurious calculations, for example by seeking recovery for approximately 124 containers when the claimed shortfall was approximately 15 containers or assuming that HMM would have charged \$0 for freight (which significantly increased the damage claim).⁸ Q Dec. ¶ 20. Although the Revised Damages Summary was also obviously incorrect, no further damages summaries were provided by MSRF during the Proceeding.

⁷ HMM would have been well within its rights to immediately suspend the depositions, demand a revised damages chart, and seek its costs for this waste of time from MSRF.

⁸ The Revised Damages Summary is, bluntly stated, a mess. Attached to the MSRF Filing as Exhibit F, attempting to decipher this document is impossible.

4. MSRF's "Brief" Shenanigans

MSRF's haphazard conduct of its case continued to the shenanigans surrounding the filing of its "brief." MSRF did not file a brief as required, and the papers MSRF did file amended MSRF's damages to a fraction of the amount MSRF had claimed only weeks before. MSRF's reply papers then raised new issues, leading to unnecessary motion practice. Pursuant to the Scheduling Order, as amended, MSRF was required to file and serve its brief on April 21, 2023. MSRF did file papers with the FMC on April 21, 2023, but neglected to attach its motion. The Commission's clerk emailed the parties on April 24, 2023, which spurred MSRF to attach its motion in a filing later that day (the "MSRF Filing"). This defective service is indicative of the deeply flawed manner in which MSRF handled this matter and also reduced the time period for HMM to complete its opposition brief by three of twenty-one days.

The MSRF Filing itself did not mark an improvement in the conduct of this case. Although the Scheduling Order required MSRF to submit a brief in accordance with 46 C.F.R. 502.214, MSRF instead opted to file papers captioned as a "Motion for Summary Decision" brought under 46 C.F.R. 502.70. Docket Entry 24. MSRF's deviation from the Scheduling Order and decision to submit a motion instead of the required (and ordered) brief introduced more procedural confusion, forcing the Presiding Officer to issue an April 24, 2023, Order on Complainant's Filings accepting the MSRF Filing as a brief and directing HMM to respond to the MSRF Filing as a brief and not a 46 C.F.R. 502.70 motion. *See* Docket Entry 25.

Procedural irregularities aside, the MSRF Filing also reduced MSRF's damages claims from \$1,768,328.68 to \$228,171.52, a sum representing approximately 13% of the amount of damages alleged just weeks prior to the MSRF Filing. Q Dec. ¶ 22. MSRF's grossly inflated alleged damages and failure to provide an updated damages allegation until the MSRF Filing

created an impasse that precluded any resolution of this case because the gap between the claimed damages and the finally alleged damages was too great.

MSRF, having filed the thinnest of briefs, then served a Reply Brief raising new arguments. As a result, HMM was forced to file a motion to strike portions of the MSRF Reply Brief or, in the alternative, for leave to file a sur-reply. Docket Entry 33. The Presiding Officer granted HMM's motion to file a sur-reply (Docket Entry 39), but this was another wholly unnecessary waste of judicial and party resources caused solely by MSRF.

5. The MSRF Filing Failed To Make Out A Single *Prima Facie* Claim

Substantively, MSRF's Filing failed to make out a *prima facie* claim on any of its allegations. Barely five pages long, MSRF's Filing was so inchoate that both the Presiding Officer and HMM struggled to interpret the arguments advanced therein. See Docket Entry 25. The MSRF Filing does not deny that HMM fulfilled the Service Contract, and with respect to the Shipping Act violations that could be divined from the MSRF Filing, the Presiding Officer found them all to be meritless. Now that the Commission and HMM are aware that the allegations were all copied from a different case, this is not surprising but MSRF's allegations initially appeared legitimate, and so the Commission and HMM took them seriously. As the ID makes clear, MSRF's claims were not serious, and MSRF failed to show a single violation of the Shipping Act or breach of the Service Contract. The ID contains numerous findings that MSRF's factual and legal arguments were unsupported. It is now obvious that MSRF did not, at any time, have a viable claim against HMM.

III. LEGAL ARGUMENT

HMM respectfully submits that under the foregoing facts and applicable standards, an award to HMM of its costs and fees incurred in defending this action is reasonable. The petitioner

bears the burden of establishing its eligibility for and entitlement to attorney's fees, documenting the appropriate hours which underpin the fees, and justifying the reasonableness of the rates charged. *See* 46 C.F.R. § 502.254(d); *Logfret v. Kirsha, B.V.*, 2 F.M.C.2d 110, 113 (FMC 2020). The standard of proof is preponderance of the evidence. *Logfret* at 113. HMM is eligible to recover its attorney's fees and costs because it is the prevailing party, has timely moved, and can demonstrate that its fees are reasonable in the legal market where they were incurred. Under the Guidelines, such an award is proper and reasonable and will not have a chilling effect on the filing of meritorious claims and defenses. It would also generally comport with other federal cases in which attorney's fees and costs have been awarded.

1. As the Prevailing Party, HMM is Eligible to Recover its Reasonable Attorney's Fees

As the prevailing party, HMM is eligible to recover its reasonable attorney's fees and costs incurred in defending this action. The Presiding Officer has discretion to make such an award pursuant to 46 U.S.C. § 41305(e), which provides that the "prevailing party may be awarded reasonable attorney fees." Guidance for determining the prevailing party is found in a Final Rule amendment to the FMC Rules of Practice and Procedure at 81 Fed. Reg. 10508 (the "Rule") and in the Guidelines. The Rule directs that "prevailing complainants and prevailing respondents [should be treated] in an even-handed manner when applying § 41305(e)" (*Id.* at 10514) and provides that "[t]he touchstone of the prevailing party inquiry" is "the material alteration of the legal relationship of the parties in a manner which Congress sought to promote in the fee statute." *Id.* at 10511-12 (quoting *Tex. State Techers Ass'n v. Garland Indep. Sch. Dist.*, 489 U.S. 782, 792-93 (1989)). A material alteration in the legal relationship between the parties occurs when one party prevails in its claims. *Id.* The Guidelines offer further clarification, advising that a "respondent is generally a prevailing party when the presiding officer rebuffs a complainant's

claims”. Guidelines at 3. In the matter at bar, all of the claims brought by MSRF against HMM were dismissed with prejudice and there is no doubt that HMM is the prevailing party.

2. The Instant Motion is Timely

The Motion is timely under the FMC Rules. In order to be considered timely, a motion for attorney’s fees and costs must be filed within the 30-day period after a decision of the Commission becomes administratively final. *See* 46 C.F.R. 502.254(c)(1). The ID became administratively final on December 26, 2023, when the FMC entered its Notice Not to Review the Initial Decision. Docket Entry 43. The instant Motion is filed within the 30-day period following the Notice Not to Review the Initial Decision and is therefore timely.

3. The Attorney’s Rates and Fees Incurred by HMM in Defense of MSRF’s Claim are Reasonable

The attorney’s fees and costs incurred by HMM in the defense of this matter are reasonable. Federal courts determining the reasonableness of attorney’s rates refer to the Laffey and Fitzpatrick Matrixes. The Laffey Matrix has long been accepted by federal courts in determining the reasonableness of attorney’s fee awards. *See Save Our Cumberland Mountains, Inc. v. Hodel*, 826 F.2d 43 (D.C. Cir. 1987). Similarly, the Fitzpatrick Matrix was developed in response to the urging of the United States Court of Appeals for the District of Columbia Circuit and has since been adopted by the DC Circuit. *DL v. District of Columbia*, 924 F.3d 585, 595 (D.C. Cir. 2019); *J.T. v. Dist. of Columbia*, 2023 U.S. Dist. LEXIS 12271 (D.C. Cir. Jan. 11, 2022); *J.T. v. Dist. of Columbia*, Civil Action 19-cv-989 (BAH) (D.D.C. Jan. 23, 2023). Under either standard, the rates charged by HMM’s counsel are inherently reasonable.

As further detailed in the Q Dec., which is incorporated herein by reference, the attorneys who performed the vast majority of work on this claim are Neil Quartaro, Joshua Stein, and

Kathryn Sobotta.⁹ Neil Quartaro was 21 years out of law school in 2023 and charged a rate of \$740.00-760.00 per hour for his work in this Proceeding. Joshua Stein was 17 years out of law school in 2023 and charged a rate of \$705.00-755.00 per hour for his work in this Proceeding. Kathryn Sobotta was 4 years out of law school in 2023 and charged a rate of \$420.00-460.00 per hour for her work in this Proceeding. During the period when work was performed in this Proceeding, the Laffey Matrix provided that an attorney with over twenty years of experience would reasonably charge \$997.00 per hour of work performed. Similarly, for an attorney with 11-19 years of experience would charge \$829.00 per hour. An attorney with four years of experience would charge \$508.00 per hour. Because the rates identified as reasonable under the Laffey Matrix are higher than those charged by Neil Quartaro, Joshua Stein, and Kathryn Sobotta, the rates charged here are reasonable. Under the Fitzpatrick Matrix, similar rates are affirmed, including a rate of \$742.00 for an attorney with 21 years' experience; \$707.00 for an attorney with 17 years' experience; and \$536.00 for an attorney with four years' experience.

During the Proceeding, the hours spent by each attorney varied based on the scope of work performed, generally broken down into the responses to the complaints,¹⁰ discovery,¹¹ and briefing phases of the Proceeding. No fees included in this Motion were billed for work performed on this matter prior to the filing of the complaint in FMC Docket 22-14 on June 8, 2022. Additionally,

⁹ Small amounts of additional work were performed by e-discovery specialist attorneys Shari Coltoff and Emily Plowcha who each charged a rate of \$260.00 which is well below the rate thresholds in the Laffey and Fitzpatrick Matrices for attorneys in their first year of practices.

¹⁰ In light of MSRF's decision to first file a complaint against Yang Ming Lines and HMM as joint respondents, HMM was forced to undertake work to answer the complaint. Thereafter, MSRF moved for dismissal of the claim against both respondents and filed the instant complaint. As a result, MSRF was forced to complete additional work in order to answer the complaint in the present Proceeding.

¹¹ Discovery included both the review of documents and depositions, including travel to MSRF's location, of four witnesses.

no fees included in this Motion were billed following the point at which the Initial Decision became final.¹²

The Q Dec. breaks this matter into three phases: (1) reviewing the Complaints filed by MSRF and responding thereto; (2) Discovery; and (3) Briefing. Q Dec. ¶ 38. As is further detailed in the Q Dec., HMM's counsel spent 27.2 hours and incurred legal fees of \$19,708 in reviewing MSRF's complaints, obtaining dismissal of the first complaint, investigating the claims, and preparing and filing an answer to the complaint in this action. *Id* ¶ 41. The Q Dec. goes on to detail the 258.5 hours spent on discovery and related tasks, including preparing initial disclosures, discovery demands, collecting, processing and reviewing possibly responsive documents, preparing discovery responses and objections, reviewing MSRF's document productions, preparing for and attending four depositions, and the associated typical litigation tasks, which caused HMM to incur an additional \$143,231 in attorney's fees plus \$29,677 in documented costs. *Id* ¶ 53. The Q Dec. further describes the 138.6 hours spent on briefing, including reviewing and analyzing all of MSRF's filings, the preparation and drafting of HMM's brief, statement of facts, motion to strike, and sur-reply, and reviewing the Initial Decision, which resulted in an additional \$81,854.50 in legal fees. *Id* ¶ 62.

All of the attorney's fees and costs incurred in this matter were reasonable and necessary to defend against MSRF's allegations. See Q dec. ¶¶ 23 – 38. Accordingly, HMM seeks an award of **\$244,763.50 in legal fees and \$29,677 in costs** incurred in defending this matter. *Id* ¶¶ 63-64.

¹² HMM respectfully requests that, should the instant Motion be granted, the Presiding Officer also order payment of the reasonable attorney's fees incurred in preparing this Motion, which could doubtless be agreed without further Order.

4. Under the Guidelines, An Award of Fees and Costs is Reasonable

The Presiding Officer should grant HMM's Motion because an award of attorney's fees and costs is reasonable under the Guidelines. According to the Guidelines:

In considering whether to award attorney fees to an eligible party, that is, whether the party is entitled to fees, the Commission's discretion is guided by one overarching consideration, three general principles, and several factors.

Guidelines at 3.

HMM's Motion and the facts of this matter show that the overarching consideration, three general principles, and several factors elucidated by the Guidelines all favor the exercise of the Commission's discretion in favor of HMM's Motion.

(i) The Overarching Consideration Favors An Award of Costs and Fees

The Presiding Officer should grant the Motion because the overarching consideration identified by the Commission favors this relief. The Guidelines provide that "[t]he primary consideration in determining entitlement to attorney fees is whether such an award is consistent with the purposes of the Shipping Act . . ." (*citing* Rule, 81 Fed. Reg at 10515). The Rule does not codify a list of factors for this determination, but cites approvingly to *Fogerty v. Fantasy, Inc.*, for "factors including 'frivolousness, motivation, objective unreasonableness (both in the factual and in the legal components of the case) and the need in particular circumstances to advance considerations of compensation and deterrence.'" 510 U.S. 517, 534 n. 19 (1994). The purposes of the Shipping Act, it is respectfully submitted, are served by discouraging frivolous cases brought by improper motivations or which are factually and legally unsustainable. Such cases are effectively discouraged if the costs of bringing them are for the account of the party filing the meritless action.

(ii) *The Three General Principles Support An Award of Costs and Fees*

The three general principles contained in the Guidelines support the exercise of discretion in granting the Motion. The first general principal is that there is no presumption for or against awarding attorney fees, and prevailing complainants and prevailing respondents are treated the same with respect to the attorney fee analysis. Guidelines at 3. Although HMM is the respondent, HMM is the prevailing party and should be treated the same as a prevailing complainant. The second general principle is that “parties should be encouraged to litigate meritorious claims and defenses” Guidelines at 3. Here, MSRF simply copied its allegations from an unrelated case, and they were proven to be factually and legal meritless, in many cases by MSRF’s own testimony and documents. It is therefore impossible to conclude that the MSRF Complaint was meritorious. The final general principle is that “attorney fee liability should not be imposed in a way that would chill the filing of credible claims and defenses” Guidelines at 3. Awarding attorney’s fees to a respondent forced to defend allegations copied from a wholly unrelated matter involving different parties and facts, which allegations are belied by the evidence, unsupported by the law, and in several cases abandoned at the briefing state, will not deter parties with credible claims and defenses. Instead, it will serve as a caution that parties appearing before the FMC must, at the very least, have some factual support for their claims and base their causes of action on those facts, not “cut and pasted” allegations from unrelated matters.

(iii) *The Factors Each Weigh in Favor of Awarding Costs and Fees*

The several factors weighed by the Commission when considering whether or not to award attorney’s fees all weigh in favor of granting the Motion. The Guidelines identify five non-exclusive factors: frivolousness and objective unreasonableness (in the factual and legal components of a case), motivation, litigation misconduct, deterrence, and compensation.

Guidelines at 4. The Commission is free to consider additional or other factors in a specific case, but, under the facts of the matter at bar, it is respectfully submitted that the Guideline factors are sufficient.

a. MSRF's Claims Were Frivolous and Objectively Unreasonable

As the facts of this case show, MSRF's claims were frivolous and objectively unreasonable.

According to the Guidelines:

Objectively unreasonable claims or defenses are those that are clearly without merit or "patently devoid" of a legal or factual basis. Failing to prosecute a claim, for instance, may be considered an objectively unreasonable failure to substantiate the legal and factual components of a case.

Guidelines at 4; *see also Logfret*, 2 F.M.C.2d at 114; *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, Inc.*, Docket No. 14-04, 2016 FMC LEXIS 58 *14-15.

MSRF's claims were objectively frivolous and objectively unreasonable because they were copied from another action, MSRF also knew at all times that its primary factual allegation was false, and all five of MSRF's Shipping Act claims were found to have no factual or legal basis or were abandoned.

i. The Complaint Was Copied From Another Case

The Presiding Officer need look no farther than the presentation of the copied MCS Complaint as an original complaint to find that MSRF's claims were frivolous and objectively unreasonable. MSRF apparently conducted no review of the facts or the law, and instead just copied a credible-looking complaint from another case, passing it off as MSRF's allegations and legal theories. Obviously, alleging facts and claims against a party that have been lifted wholesale from another case necessarily involves advancing claims that are without merit and "patently

devoid” of a legal or factual basis. This is clear-cut evidence that all of MSRF’s claims were frivolous and objectively unreasonable.¹³

ii. MSRF Knew Its Central Factual Allegation Was False

Even if MSRF can somehow be excused for passing off the MCS Complaint as its own, MSRF knew at all times that its basic contention that HMM failed to carry the MQC was false. MSRF admitted that it obtained a significant benefit from the extension of the Service Contract and the excess volume carried by HMM, a benefit MSRF compared to “winning a casino jackpot.” ID at 15. MSRF even admitted that HMM was not obligated to carry the additional volume on behalf of MSRF but did so anyway. *Id.* It is therefore clear that MSRF’s allegations that HMM did not fulfill its Service Contract obligations to the detriment of MSRF were meritless when made. Furthermore, allegations that MSRF suffered damages due to HMM’s conduct were undermined by its own admissions that HMM’s additional and gratuitous performance of the Service Contract actually conferred a benefit of **at least \$180,000** to MSRF. ID at 15.

iii. MSRF’s Count I, Violation of 46 USC 41102(c), Was Unsupported

MSRF claimed that HMM failed to establish, observe, and enforce just and reasonable practices in compliance with § 41102(c) but failed to present any evidence which would support this allegation or articulate any practice which would satisfy the plain language of the statute’s prohibitions. ID at 25-26. The Presiding Officer found that “**MSRF does not point to any cases** in support of its reasonableness argument” (at page 24), “**the facts make clear under any assessment** that MSRF has not carried its burden of demonstrating any unreasonable practice or

¹³ HMM respectfully suggests that the Commission find that the filing of a complaint copied from an unrelated matter is *per se* objectively unreasonable and frivolous.

regulation by HMM”, and that “[n]o arguments made by MSRF support this *factual history* being unreasonable or unjust towards MSRF.” *Id.* (emphasis added). The ID further finds that:

[T]his contract was more than fulfilled. ***It is inconsistent and untenable*** for MSRF to accept amendments, benefit by them, and then complain about their execution. There have been no allegations – and no evidence presented – of duress or undue pressure exerted by HMM concerning the Service Contract’s amendments.

ID at page 26 (emphasis added).

As a result, the Presiding Officer dismissed this claim. Since MSRF offered no legal or factual support for this claim, it was by definition unreasonable and frivolous.

iv. MSRF’s Count II, Violation of 46 USC 41104(a)(2), Was Unsupported

MSRF’s Section 41104(a)(2) Claim (Count II) was similarly devoid of legal or factual merit. Legally, MSRF failed to recognize the multiple amendments of the Service Contract and did not identify “what ‘rates, charges, classifications, rules, and [or] practices’ HMM allegedly failed to follow.” ID at 27. This bizarre legal theory of ignoring a contract’s amendments was completely unsupported: “**No authority is provided** supporting that the terms of an initial service contract should be considered independent of or without reference to amendments”. ID at 27. The Presiding Officer also went on to find that MSRF “**fail[ed] to consider**” those terms which were “incorporated by explicit references.” *See* ID at 27; *see also* ID at 12-13. In other words, MSRF alleged violations of Section 41104(a)(2) but failed to consider the subsequent amendments or terms and conditions incorporated by reference even though MSRF actively sought and benefitted from them during the course of the Service Contract’s term.

Factually, MSRF’s Section 41104(a)(2) argument also failed to consider the entirety of the tariff incorporated into the Service Contract, which contained options MSRF failed to elect. ID at 27. It was thus a simple matter to find that “MSRF has not established that HMM acted ‘not in accordance’ with the rates, charges, classifications, rules, and practices contained in the service

contract. Accordingly, there is no violation of this section.” ID. at 27. For these reasons, it is clear that MSRF’s Count II lacked any reasonable legal or factual support.

v. MSRF Expressly Abandoned Count III and Implicitly Abandoned Count IV

MSRF’s Count III, alleging violations of Section 41104(a)(5), was expressly abandoned by MSRF. ID at 20. MSRF’s Count IV appeared to be implicitly abandoned when MSRF omitted this claim in its Reply Brief. ID at 20. The lack of clarity led the Presiding Officer to analyze this claim, but MSRF failed to substantiate this allegation as well: “**no evidence was provided** to establish that HMM gave a preference or advantage or imposed a prejudice or disadvantage regarding use or avoidance of any port to the detriment of MSRF” (emphasis added). ID at 29. MSRF’s Counts III and IV were thus copied from the MCS Complaint without any supporting facts or legal theories in this case and then were abandoned at the end of the case. It is thus clear that these claims were also unreasonably alleged.

vi. MSRF’s Count V, Violation of 46 USC 41104(a)(10), Was Unsupported

MSRF’s Count V, alleging violations of 41104(a)(10) for an unreasonable refusal to deal or negotiate, was also totally unsupported. As the Presiding Officer found, “***contrary to its claims, MSRF admitted that HMM did not refuse to negotiate with MSRF.***” ID at ¶ 55 and p.32 (emphasis added). Email correspondence between MSRF and HMM also demonstrated that the two companies communicated and negotiated regarding the MQC, additional lanes, freight rates, surcharges added, and the Service Contract extension. See ID at 16. The Presiding Officer aptly found that “the interactions between the parties demonstrate ***continued negotiations at each stage of the relationship, culminating in 14 amendments to the Service Contract by mutual agreement of the parties and movement of nearly double the MQC.***” ID at 32 (emphasis added). MSRF’s

counterfactual claim that HMM refused to deal with MSRF was summarily rejected. In light of the lack of factual support and MSRF's admission that HMM did not refuse to deal, it is clear that this claim lacked also any legal or factual support that would cause it to be reasonable.

MSRF's copied complaint is the definition of an unreasonable and frivolous claim. Even if it were not, MSRF knew when it filed this case that its central allegation that HMM had failed to transport the MQC was false. Each of MSRF's causes of action were either dismissed or abandoned because MSRF did not establish a single fact or legal theory supporting its claims. Despite evidence produced during discovery, including evidence produced by MSRF, testimony taken during depositions of MSRF's own witnesses, and the plain and obvious statutory language underlying MSRF's claims, MSRF pursued its meritless claims all the way through briefing, at great expense to HMM. MSRF also made any resolution of this case impossible by recklessly overstating its damages claim, only to suddenly reduce its claim by 87%. *Compare* Complaint at 8; *with* MSRF Filing at 4-5. None of the facts proposed by MSRF were adopted by the Presiding Officer, and this factor should weigh heavily in favor of an award of attorney's fees to HMM.

b. MSRF's Claims are Improperly Motivated

MSRF's claims were improperly motivated because they were simply copied from the MCS Complaint. The Guidelines consider whether a party is improperly motivated to assert claims not because of their merit but because the party seeks to gamble on unreasonable legal theories to achieve a secondary gain in order to determine whether a claim was improperly motivated or inappropriately brought before the Commission. Guidelines at 4; *Logfret*, 2 F.M.C.2d at 116. As was the case in *Lewys v. O'Neill*, "[t]he plaintiff, therefore, has played for high stakes and lost" and should bear "a large part of the expense of litigation [as] the unsuccessful party." 49 F.2d 603, 618 (SDNY 1931).

MSRF's claims were copied from another matter and were not related to the actions or inactions of HMM. MSRF thereby sought to achieve a secondary gain, betting that the credible-sounding allegations made in the MCS Complaint might also work against HMM. In furtherance of this scheme, MSRF alleged and purportedly substantiated inflated damages via the Initial Damages Summary and the Revised Damages Summary. When forced to actually prove its alleged damages, MSRF was forced to concede that, at most, its claim was \$228,171.52, but even this could not be substantiated. HMM respectfully submits that it is obvious that MSRF simply copied allegations it knew were false hoping HMM would settle, the very definition of improper motivation.

c. MSRF's Haphazard Conduct of This Case Caused Delat and Increased Costs

MSRF's conduct of this case greatly increased the time and cost of resolving this matter.

The Guidelines note that:

Commission rules prohibit parties from filing pleadings, discovery requests, motions, or other documents for improper purposes, such as harassing others or causing unnecessary delay,
and

Knowing and repeated disregard of ALJ or Commission orders by a non-prevailing party, for instance, may give rise to attorney fee liability.

Guidelines at 4.

The FMC also considers whether a party caused unnecessary delay or harassment in order to determine whether a party engaged in litigation misconduct during the proceeding. 46 C.F.R. § 502.6(a). Without casting undue aspersions, it is fair to say that MSRF's conduct of this case was haphazard. MSRF struggled to review the documents it demanded (Docket Entry 12), withdrew its Initial Damages Summary in the middle of depositions (Q Dec. ¶ 18), submitted the MSRF Filing instead of a proper brief (Docket Entry 24), and then filed a Reply Brief that necessitated a Motion to Strike or File a Sur-Reply (Docket Entry 32). These actions, whether or not part of a

deliberate strategy, served to unnecessarily delay and complicate this matter, in addition to driving up the costs of resolving it.

MSRF also engaged in litigation misconduct when it suddenly abandoned two of its five claims in the MSRF Filing. The FMC has previously awarded fees where a party effectively abandoned its case following months of legal proceedings without notice or communication. *Edaf Antillas, Inc.*, Docket No. 14-04, Order Granting Petition for Attorney Fees at 9-10 (FMC Sep. 14, 2016). As the ID discusses, MSRF expressly abandoned Count III, and either implicitly abandoned Count IV or failed to substantiate it any way. *See* ID at 20. This action alone justifies the award of a significant portion of the requested fees.

Even in the absence of deliberate misconduct by MSRF, it is clear that the claims were harassing - a classic attack on an entity with “deep pockets” that MSRF probably assumed would just settle the case. From the outset, MSRF was not prosecuting meritorious claims but instead copied the MCS Complaint’s claims for use against HMM. The litigation misconduct factor clearly supports granting the Motion.

d. MSRF’s Claims Are of the Type that the Commission Should Seek to Deter

An award of attorney’s fees would result in deterrence of frivolous claims brought before the Commission. The Guidelines allow the Commission to award attorneys fees to deter conduct of various types but leave the determination of objectionable conduct to the discretion of the Presiding Officer. Guidelines at 5. Of course the Guidelines caution, and HMM recognizes the concern, that potential attorney’s fee awards should not deter complainants from raising potential Shipping Act violations. *Logfret, Inc.*, Docket No. 18-10, Order Affirming Denial of Attorney Fee Petition at 13 (FMC June 22, 2020). HMM would not be moving for its attorney’s fees and costs in this matter if MSRF’s claims had merit, but the discovery of the MCS Complaint proves that MSRF’s claims were entirely baseless and simply copied from another case. The Commission

should also consider the fact that MSRF did not require discovery to prove or disprove this case. Instead, MSRF had access to all of the important facts and information that were used to determine the outcome of the Proceeding before it filed the Complaint, including, the central fact that HMM had in fact shipped nearly double the MQC during the term of the Service Contract. MSRF therefore knew that the allegations of the Complaint were false, but kept up the pretense of having a legitimate claim until the briefing phase.

The Commission should have no concerns that an award of attorney's fees in this case would deter other claimants from making meritorious claims. It is likely, HMM respectfully argues, that this case is *sui generis*, and, therefore, an award of fees will have no impact on those with colorable allegations, though perhaps they will need to draft their own complaints. Moreover, an award of attorney's fees in this Proceeding would promote the efficient use of the Commission's resources by discouraging baseless filings.

e. HMM Should Be Compensated For Defending This Case

HMM should be compensated for the monumental waste of resources occasioned by this case. The Guidelines suggest that compensation is only a factor in certain cases but does not provide significant further guidance other than to suggest that some consideration be given to making parties whole. The FMC has previously considered the need to compensate a prevailing party in order to determine whether an award of attorney's fees is necessary. *Edaf Antillas, Inc.*, Docket No. 14-04, Order Granting Petition for Attorney Fees at 9-10 (FMC Sep. 14, 2016). The FMC also recognizes that too much emphasis on this factor would lead to a presumption of attorney's fees. *Id.* In this case, HMM was forced to defend meritless and inflated claims copied from another case. The waste that resulted from fully litigating these claims was completely avoidable, but MSRF preferred to gamble on a favorable result or settlement offer. This was not

a legitimate dispute, and an award of HMM’s attorney’s fees and costs is the only way to make HMM whole.

5. An Award of Fees Would Comport With Federal Case Law

An award of attorney’s fees and costs to HMM in this case would not be an outlier in Federal case law. Other Federal Courts have awarded attorney’s fees in analogous circumstances. *See e.g.*, *Fogerty v. Fantasy, Inc.*, 510 U.S. 517, fn. 14, fn. 16; *Spanksi Enters. v. Telewizja Polska, S.A.*, 2018 U.S. App. LEXIS 33303 (D.C. Cir. 2018) (affirming lower court decision awarding fees that was reasoned on factors, including frivolousness, motivation, objective unreasonableness, and the need in particular circumstances to advance considerations of compensation and deterrence); *Maljack Prods., Inc. v. GoodTimes Home Video Corp.*, 81 F.3d 881, 890 (9th Cir. 1996) (awarding fees because, *inter alia*, plaintiff's claims were “factually unreasonable”); *See Bridgeport Music, Inc. v. Dimension Films*, 410 F.3d 792, 809 (6th Cir. 2005) (affirming award based on deterrence and compensation); *Lewys v. O'Neill*, 49 F.2d 603, 618 (SDNY 1931) (awarding fees where plaintiff's case was “wholly synthetic” and recognizing that a plaintiff’s gamble on a flimsy claim may require it to bear the expenses of the winning party). Courts have recognized the importance of judicial efficiency and have consistently acted to deter legally and factually unreasonable claims such the ones made in this case. Where, as here, a plaintiff files a complaint in search of a claim, such conduct should be condemned as frivolous and wasteful of judicial resources.

IV. CONCLUSION

HMM has demonstrated that it is eligible for attorney’s fees upon the completion of the Proceeding and that its attorney’s fees are reasonable. Moreover, the overarching consideration, three principles and several factors outlined in the Guidance and Rule all weigh heavily in favor of HMM. At the end of the day, MSRF should be required to pay HMM’s fees and costs because

MSRF Inc.	<i>Complainant,</i>	DOCKET NO. 22-20
v.		
HMM Company Limited,	<i>Respondent.</i>	

By: /s/

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 25th day of January, 2024, a true and correct copy of the foregoing Respondent's Motion for Attorney's Fees was served via electronic mail on:

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